

the stocks into portfolios. The post-ranking beta is the realized beta over the next three months after the portfolios have been formed. Panel B graphs the average pre-ranking betas of each portfolio with the average post-ranking betas. There is considerable noise in estimating betas at both ends, which is why the post-ranking beta line is much flatter than the pre-ranking betas. Betas are noisy! There is, however, still a large spread in post-ranking betas of over 1.0 between the highest and lowest beta portfolios.

Contemporaneous Beta and Returns

The CAPM does *not* predict that lagged betas should lead to higher returns. The CAPM actually states that there should be a *contemporaneous* relation between beta and expected returns. That is, stocks with higher betas should have higher average returns over the same periods used to measure the betas and the returns (see chapter 7 for more on factor theory).

Figure 10.11 examines the contemporaneous relation between betas and average returns by graphing average realized returns and average realized betas of portfolios formed at the end of each three-month period. It shows, perhaps surprisingly, that there is a positive contemporaneous relation between beta and returns.²⁶ This is exactly what the CAPM predicts!

Can we reconcile the negative relation between past betas and future returns and the positive contemporaneous relation between betas and realized returns? If we could find the future beta, future betas line up with future returns in keeping

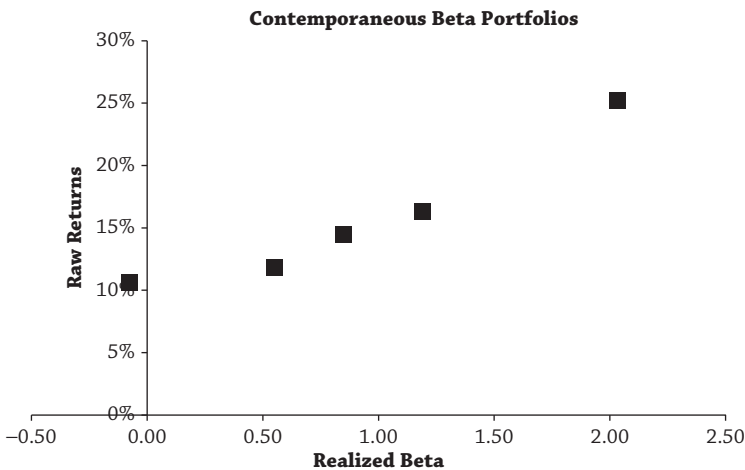


Figure 10.11

²⁶ See also Ang, Chen, and Xing (2006). Consistent with the early studies like Black, Jensen, and Scholes (1972), Figure 10.11 also shows that the estimated security market line is "too flat," especially near the y-axis.